

FOR DANIELA GARCIA AGUIRRE · SHARED WORKING PACK

Module 2 — how we split it, and everything behind my half.

Thursday 27 August, 7:00 PM · Internationalization and Performance · five minutes each

Everything here follows the split you proposed on 23 August. You open with the introduction and your two papers; I follow with mine and take the conclusion. Nothing in my half repeats yours — I reference your two in one line each at the close, and that is all.

PREPARED BY YASIR A. MALIK · COHORT 8.14 · 26 AUGUST 2026

THE TEN MINUTES, MINUTE BY MINUTE

Running order.

0:00–1:00	DANIELA	Introduction — what the module is about
1:00–3:00	DANIELA	Arregle et al. (2021) — 220 studies, seven themes
3:00–5:00	DANIELA	Ghemawat (2001) — CAGE, Star TV
5:00–5:30	HANDOFF	“...over to Yasir”
5:30–7:20	YASIR	Contractor, Kundu & Hsu (2003) — the sigmoid
7:20–8:30	YASIR	Mezias (2002) — replacing the measure
8:30–10:00	YASIR	Conclusion — all four, and the close

If you run long, take it out of my time not yours — tell me on the night and I will cut the Mezias backup numbers. My conclusion is the only part that must survive intact, because it carries all four papers.

WHAT I NEED FROM YOU, AND WHAT YOU CAN RELY ON FROM ME

Dependencies.

WHAT I NEED FROM YOU

- **Your deck**
so our styling does not clash and I know your last slide
- **Your closing line**
I will echo it into my opening so the handoff is clean
- **Whether you use Star TV's numbers**
\$825m paid, ~\$500m lost — if you skip them I may use one
- **One 20-min run-through**
with a timer, any time before 6:00 PM

WHAT YOU CAN RELY ON

- **I will not touch Arregle or Ghemawat**
except one line each in the conclusion
- **I take the conclusion**
so you do not need a wrap-up — end on your paper
- **My half is timed at 4:30**
leaving slack for the handoff
- **Every quote is verified**
checked against the PDFs, page numbers on the next page

One thing worth flagging: the split is for the presentation only. Bill was explicit that the write-ups are individual and still analyse all four papers.

→ THE ONE LINE THAT CONNECTS US: EVERY PAPER HERE MADE PROGRESS BY CHANGING WHAT WAS MEASURED.

EVERY FIGURE AND QUOTE IN MY HALF, WITH ITS PAGE

The evidence behind the charts.

SLIDE	CLAIM ON IT	SOURCE	CHECKED
2	Sigmoid, three stages; four findings are segments of one curve	Contractor p.7, Fig. 1	EXACT
2	“Depending on which part of Figure 1 we examined...”	Contractor p.7	EXACT
3	Knowledge-based vs capital-intensive; lower fixed capital burden	Contractor p.9	EXACT
3	“Few companies possess the managerial tools...”	Contractor p.11	EXACT
4	486 foreign subsidiaries vs 486 US, same industries and cities	Mezias p.229–231	EXACT
4	“labor lawsuits only measure labor-related disadvantage”	Mezias p.231	EXACT
4	78.9% / 70.0% / 58.4%; award > \$600,000; fees ~\$100,000	Mezias p.232	EXACT
5	“varied and at times incompatible findings”	Arregle, abstract	EXACT
6	Performance is 12% of the 220 studies	Arregle p.6	EXACT
6	Kundu authored both 2003 and 2021 papers	Both title pages	EXACT

All ten verified against the source PDFs on 26 August. Nothing on my slides is paraphrased and presented as a quote.

SO YOU KNOW EXACTLY WHERE I GO — AND CAN HAND OFF INTO IT

What I will actually say.

CONTRACTOR

For thirty years this literature reported four different answers — positive, negative, U, inverted-U — all with real data. They say it was one sigmoid curve all along, and the field was sampling different segments of it.

THE PRACTICE LINE

Knowledge-based services drift into the bad third stage more readily than capital-intensive firms. And almost nobody can tell when they have gone too far.

MEZIAS

Everyone agreed liability of foreignness existed and nobody could isolate it. He stopped trying to fix the measure and replaced it — labour lawsuits isolate one disadvantage where performance measures blend everything.

THE CONCLUSION

All four, including yours. Contractor measured segments of a curve. Mezias's field measured aggregate performance and thought it had measured foreignness. Ghemawat's practitioners measured market size and thought they had measured opportunity. Arregle shows it unresolved after 220 studies.

THE CLOSE

Sumit Kundu of FIU is an author on both Contractor 2003 and Arregle 2021. Eighteen years apart, same question, still open — and performance is only 12% of those 220 studies.

PART TWO OF TWO

What was the field actually measuring?

ARREGLE

2021

220 studies

DANIELA

GHEMAWAT

2001

CAGE distance

DANIELA

CONTRACTOR

2003

the sigmoid

YASIR

MEZIAS

2002

the measure

YASIR

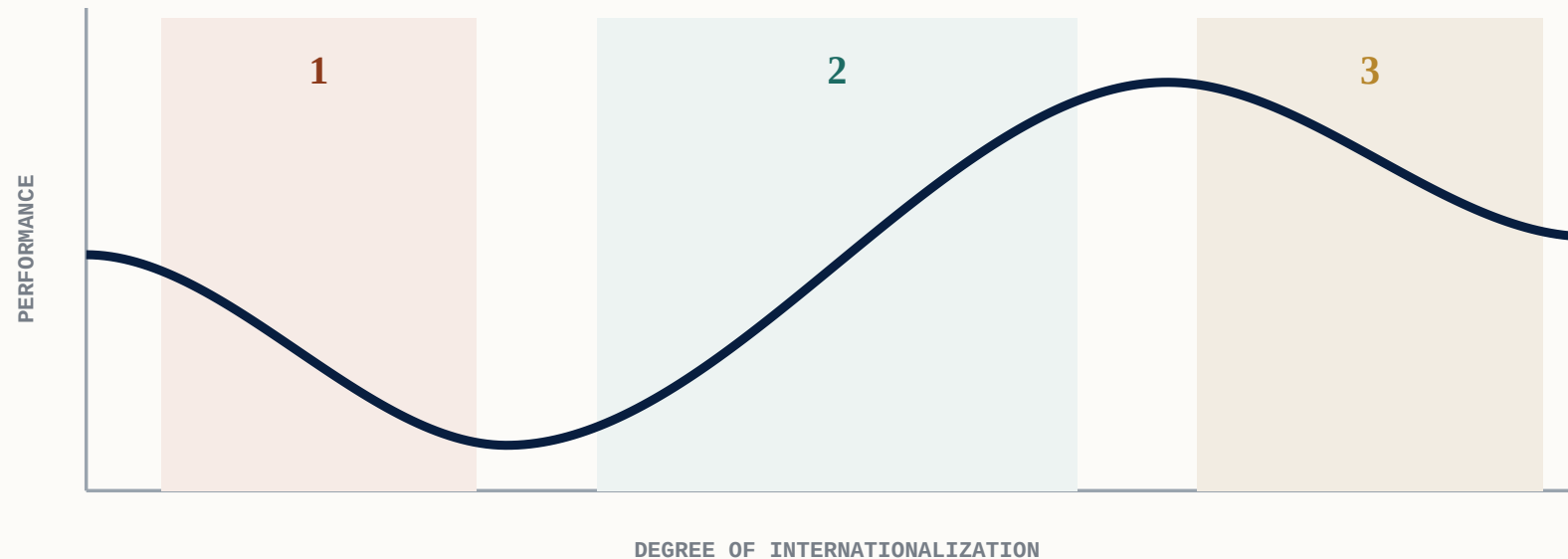
MY TWO

Daniela has shown where the field disagrees, and what distance is made of. I want the narrower question underneath both — when the field could not agree, what exactly was it measuring?

THEN THE CONCLUSION — WHAT ALL FOUR HAVE IN COMMON

CONTRACTOR, KUNDU & HSU (2003) · JIBS 34(1): 5-18 · AFTER FIGURE 1

Four findings. One curve.



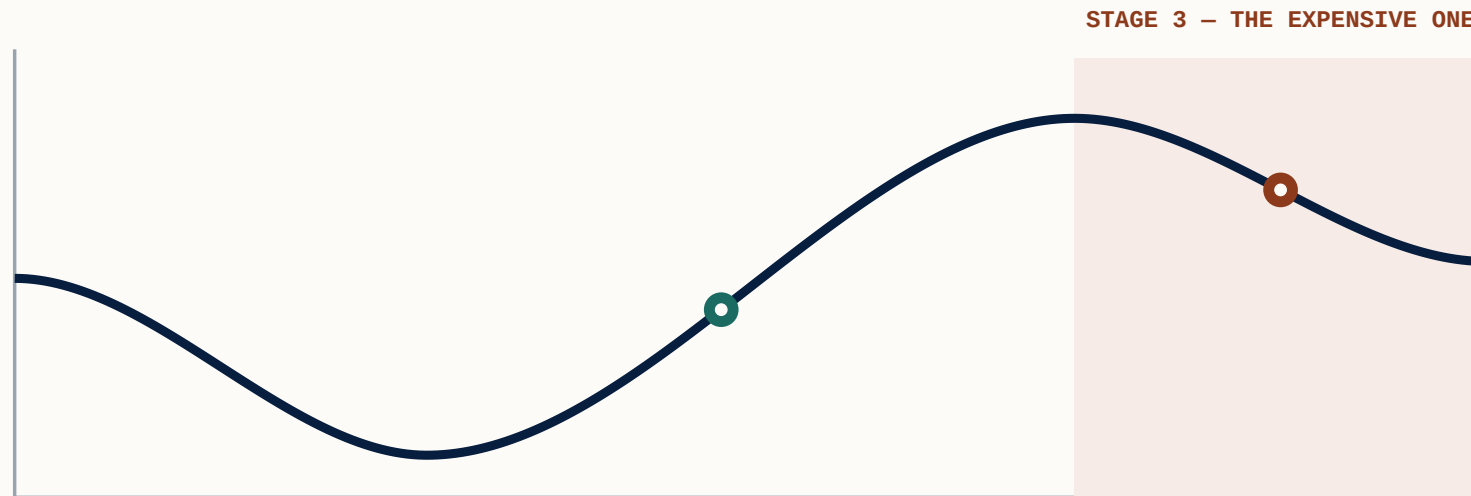
SAMPLE ONLY...

- **segment 1**
you publish a NEGATIVE linear result
- **segment 2**
you publish a POSITIVE linear result
- **segments 1+2**
you publish a U
- **segments 2+3**
you publish an INVERTED U

Thirty years of contradiction, and none of it was about firms. The literature was sampling different segments of one sigmoid and reporting each as a finding about the whole.

CONTRACTOR, KUNDU & HSU (2003) – THE FINDING THAT REACHES PRACTICE

Some firms walk into stage three more easily.



● KNOWLEDGE-BASED SERVICES

Advertising · market research · securities · publishing. Low fixed-asset exposure, so one more market is cheap to say yes to — and they drift into stage three.

● CAPITAL-INTENSIVE

Airlines · hotels · construction · retail. Fixed assets make every additional market an expensive commitment, so they stop sooner.

“Few companies possess the managerial tools that would tell them when they have over-internationalized.”

→ “SHOULD WE INTERNATIONALISE?” IS THE WRONG QUESTION. “WHERE ARE WE ON THE CURVE?” IS THE RIGHT ONE.

MEZIAS (2002) · SMJ 23(3): 229-244 · THE CRAFT LESSON

He did not fix the measure. He replaced it.



“While most performance measures aggregate advantages and disadvantages, labor lawsuits only measure labor-related disadvantage.”

486

foreign subsidiaries

486

matched US firms

\$600k+

average jury award

MATCHED ON INDUSTRY AND CITY – SO THE ONLY REMAINING DIFFERENCE IS FOREIGNNESS

CONCLUSION — ALL FOUR

What was measured, and what they thought they had measured.

	WHAT WAS MEASURED		BELIEVED TO BE
CONTRACTOR	segments of one curve	→	<i>the shape of the relationship</i>
MEZIAS	aggregate performance	→	<i>the cost of foreignness</i>
GHEMAWAT	market size	→	<i>opportunity</i>
ARREGLE	220 studies	→	<i>a settled question</i>

One diagnosis, four times: the field measured the wrong thing — or measured one thing while believing it had measured another.

Every one of them made progress by changing WHAT was measured, not by collecting more of the same thing. A literature that cannot converge because it cannot agree on a measure has a methods problem, not a theory problem.

TWO THINGS TO LEAVE YOU WITH

Eighteen years. Same question.

SUMIT K. KUNDU · FIU

2003

Contractor, Kundu & Hsu



JIBS 34(1)

2021

Arregle, ... Kundu, ...



JIBS 52

author on both

AND ARREGLE COUNTS IT

Of the 220 studies, internationalization performance is 12% of them — the smallest theme but one. Thirty years, and the question Contractor asked is the one the field looked at least.

3 SEP ENTRY MODE

If stage one is negative, mode choice is a decision about how much of that cost to absorb at once.

24 SEP INSTITUTIONS

CAGE is a pre-Hofstede way of saying what that session says with formal distance measures.